

15 June 2026

Taiwan Technology

Reuters 2345.TW
Bloomberg 2345 TT

Priced on 15 June 2026
Taiwan Wtd @ 44,169.0

12M hi/lo NT\$2,675.00/713.00

12M price target NT\$3,500.00
±% potential +44%

Shares in issue 561.1m
Free float (est.) 83.9%

Market cap US\$41.4bn

3M ADV US\$319.4m

Foreign s'holding 58.3%

Major shareholders

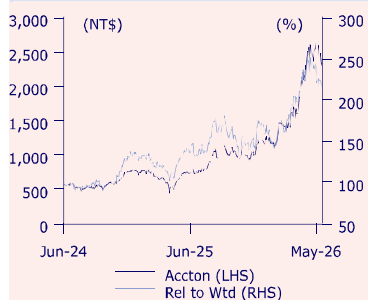
Golden Tengis Co Ltd 8.0%
Labor Pension Fund 2.5%

SinoPac analysts:

Kevin SW Chen, SinoPac
Vanessa Huang, SinoPac

Stock performance (%)

	1M	3M	12M
Absolute	(3.0)	71.1	204.9
Relative	(8.3)	29.4	52.4
Abs (US\$)	(3.2)	73.6	184.7



Networking on the rise

More AI card and switch upside ahead

Accton's outlook is strengthening on improving Trainium3 visibility and broader 800G/1.6T switch project wins. With better CoWoS supply into 2H26 and Accton securing key PCB supply, we view Trainium3 shipment ramp-up risk as manageable. With higher content value from Trainium3 with scale-up switch and 1.6T switch upgrades, we raise our 2026/27/28 EPS forecasts by 10%/18%/20%. Lift TP from NT\$3,100 to NT\$3,500 and maintain High Conviction Outperform.

Stronger Trainium3 outlook

Although key component supply for Trainium3 remains tight, improving CoWoS supply should support a stronger shipment ramp from 2H26. We estimate total Trainium shipments will increase from 2.2m units in 2026 to 3.0m units in 2027. The adoption of switch trays and rising dollar content from Trainium2 to Trainium3 should further strengthen Accton's AI card revenue. We also believe AWS/Accton has secured sufficient PCB supply, supporting intact shipment momentum. Overall, we forecast Accton's AI card business to grow by 72%/44%/40% YoY in 2026/27/28.

More networking switch project wins

Robust datacentre networking demand is driving the transition from 800G to 1.6T. 1.6T transceiver module production ramped up from 2Q26, and 1.6T switch shipments should begin from 2H26. Accton is capable of supplying both Broadcom- and Nvidia-based 800G switches to major CSP customers, and we believe the company is expanding wins from existing CSP and enterprise clients towards 1.6T switch projects with NeoCloud vendors. The move to 1.6T should also lift dollar content, particularly if liquid cooling adoption increases.

Capacity expansion to support global demand

Accton continues to expand capacity in Taiwan, Vietnam, Texas, Singapore and Malaysia, improving regional supply diversification. Vietnam will mainly support 800G/1.6T switch manufacturing, while the US plant is expected to support Level 11 assembly with production lines deployed by end-2026. Singapore and Malaysia should support future optical-related demand.

Earnings revisions and valuation

After raising our 2026/27/28 EPS forecasts by 10%/18%/20% to reflect stronger Trainium3 demand and robust networking switch momentum, we lift our TP from NT\$3,100 to NT\$3,500, still based on 30x 2027SP PE. Maintain HC O-PF.

Financials

Year to 31 December	24A	25A	26SP	27SP	28SP
Revenue (NT\$m)	110,425	248,320	396,667	542,085	706,091
Rev forecast change (%)	-	-	7.8	16.9	14.9
Net profit (NT\$m)	12,013	26,308	48,367	67,371	89,062
NP forecast change (%)	-	-	9.7	18.1	19.5
EPS (NT\$)	21.51	47.07	86.20	120.07	158.72
SP/consensus (11) (EPS%)	-	-	120	119	112
EPS growth (% YoY)	34.5	118.8	83.1	39.3	32.2
PE (x)	113.0	51.6	28.2	20.2	15.3
Dividend yield (%)	0.4	0.6	1.4	2.0	2.6
ROE (%)	41.2	60.6	65.6	57.3	51.6
Net cash per share (NT\$)	31.08	48.87	12.43	8.47	50.27

Source: SinoPac

Change in target price

Click to rate this research



Financials at a glance

Year to 31 December	2024A	2025A	2026SP	(% YoY)	2027SP	2028SP
Profit & Loss (NT\$m)						
Revenue	110,425	248,320	396,667	59.7	542,085	706,091
Cogs (ex-D&A)	(86,471)	(201,663)	(314,010)		(422,071)	(548,810)
Gross Profit (ex-D&A)	23,954	46,657	82,657	77.2	120,015	157,281
SG&A and other expenses	(9,176)	(12,750)	(18,770)		(23,836)	(29,453)
Op Ebitda	14,778	33,907	63,887	88.4	96,179	127,828
Depreciation/amortisation	(1,163)	(1,727)	(4,861)		(12,347)	(16,997)
Op Ebit	13,615	32,181	59,026	83.4	83,831	110,831
Net interest inc/(exp)	782	987	986	(0.1)	1,007	1,011
Other non-Op items	750	(285)	150		(1,007)	(1,007)
Profit before tax	15,147	32,883	60,161	83	83,832	110,836
Taxation	(3,135)	(6,611)	(11,826)		(16,493)	(21,806)
Profit after tax	12,012	26,272	48,336	84	67,339	89,030
Minority interest	1	36	32	(11.3)	32	32
Net profit	12,013	26,308	48,367	83.9	67,371	89,062
Adjusted profit	12,013	26,308	48,367	83.9	67,371	89,062
Cashflow (NT\$m)						
Operating profit	13,615	32,181	59,026	83.4	83,831	110,831
Depreciation/amortisation	1,163	1,727	4,861	181.5	12,347	16,997
Working capital changes	(1,718)	10,818	(54,800)		(45,927)	(38,654)
Other items	(3,117)	(9,873)	(11,733)		(17,728)	(23,366)
Net operating cashflow	9,942	34,852	(2,645)		32,524	65,807
Capital expenditure	(2,762)	(4,894)	(8,903)		(15,000)	(15,000)
Free cashflow	7,181	29,958	(11,549)		17,524	50,807
M&A/Others	3,023	(14,254)	0		0	0
Net investing cashflow	262	(19,149)	(8,903)		(15,000)	(15,000)
Increase in loans	(338)	(187)	-		-	-
Dividends	(5,582)	(6,148)	(8,387)		(19,347)	(26,948)
Net equity raised/other	(873)	(327)	(302)		(299)	(306)
Net financing cashflow	(6,793)	(6,663)	(8,689)		(19,645)	(27,254)
Incr/(decr) in net cash	3,411	9,041	(20,238)		(2,121)	23,553
Exch rate movements	635	733	(100)		(100)	(100)
Balance sheet (NT\$m)						
Cash & equivalents	18,116	27,891	7,553	(72.9)	5,331	28,784
Accounts receivable	21,714	38,653	88,148	128	135,521	176,523
Other current assets	30,348	53,883	87,456	62.3	120,219	155,264
Fixed assets	5,445	9,228	13,314	44.3	15,966	13,970
Investments	6,370	8,155	20,241	148.2	20,242	20,243
Intangible assets	870	771	771	0	771	771
Other non-current assets	3,456	4,650	2,941	(36.8)	2,942	2,943
Total assets	86,320	143,231	220,423	53.9	300,992	398,497
Short-term debt	476	492	492	0	492	492
Accounts payable	25,955	58,486	91,106	55.8	124,119	161,659
Other current liabs	20,489	23,206	18,853	(18.8)	20,049	19,903
Long-term debt/CBs	281	84	84	0	84	85
Provisions/other LT liabs	2,831	3,328	12,300	269.5	10,664	8,691
Shareholder funds	33,043	53,723	93,675	74.4	141,670	203,755
Minorities/other equity	3,246	3,913	3,913	0	3,913	3,913
Total liabs & equity	86,320	143,231	220,423	53.9	300,992	398,497
Ratio analysis						
Revenue growth (% YoY)	31.2	124.9	59.7		36.7	30.3
Ebitda margin (%)	13.4	13.7	16.1		17.7	18.1
Ebit margin (%)	12.3	13.0	14.9		15.5	15.7
Net profit growth (%)	34.7	119.0	83.9		39.3	32.2
Op cashflow growth (% YoY)	(45.9)	250.5	(107.6)		nm	102.3
Capex/sales (%)	2.5	2.0	2.2		2.8	2.1
Net debt/equity (%)	(47.8)	(47.4)	(7.1)		(3.3)	(13.6)
Net debt/Ebitda (x)	-	-	-		-	-
ROE (%)	41.2	60.6	65.6		57.3	51.6
ROIC (%)	75.5	125.8	87.7		63.0	59.5

Source: SinoPac

Click to rate this research



Figure 1

Forecast revisions

(NT\$m)	2026SP			2027SP			2028SP		
	old	new	% ch	old	new	% ch	old	new	% ch
Revenue	368,057	396,667	8%	463,532	542,085	17%	614,716	706,091	15%
Gross profit	71,726	77,795	8%	91,029	107,667	18%	117,997	140,284	19%
Opex	17,465	18,771	7%	20,384	23,836	17%	25,643	29,453	15%
Operating profit	54,262	59,025	9%	70,644	83,831	19%	92,353	110,831	20%
Pretax profit	54,761	60,160	10%	70,891	83,832	18%	92,603	110,836	20%
Net profit	44,072	48,366	10%	57,044	67,371	18%	74,506	89,062	20%
EPS (NT\$)	78.54	86.20	10%	101.66	120.07	18%	132.78	158.72	20%
Margin									
Gross margin	19.5%	19.6%		19.6%	19.9%		19.2%	19.9%	
Operating margin	14.7%	14.9%		15.2%	15.5%		15.0%	15.7%	
Net margin	12.0%	12.2%		12.3%	12.4%		12.1%	12.6%	

Source: SinoPac

Figure 2

Quarterly P&L

(NT\$m)	1Q26	2Q26SP	3Q26SP	4Q26SP	1Q27SP	2Q27SP	3Q27SP	4Q27SP	2025	2026SP	2027SP	2028SP
Sales	70,121	85,027	112,627	128,892	128,251	138,607	139,053	136,175	248,320	396,667	542,085	706,091
Gross profit	13,701	16,675	22,060	25,360	25,290	27,429	27,687	27,261	44,930	77,795	107,667	140,284
Opex	3,651	4,251	5,068	5,800	5,900	6,099	6,118	5,719	12,750	18,771	23,836	29,453
Operating profit	10,050	12,423	16,991	19,560	19,390	21,331	21,569	21,541	32,181	59,025	83,831	110,831
Non-OP	261	266	272	284	(5)	1	2	3	702	1,136	1	5
Pretax profit	10,311	12,689	17,264	19,845	19,385	21,331	21,571	21,544	32,883	60,160	83,832	110,836
Net profit	8,290	10,201	13,875	15,948	15,579	17,143	17,335	17,313	26,308	48,366	67,371	89,062
EPS (NT\$)	14.83	18.18	24.73	28.42	27.76	30.55	30.89	30.86	46.88	86.20	120.07	158.72
Growth												
Sales QoQ	(3%)	21%	32%	14%	0%	8%	0%	-2%				
Sales YoY	64%	40%	54%	79%	83%	63%	23%	6%	125%	60%	37%	30%
EPS QoQ	(1%)	23%	36%	15%	-2%	10%	1%	0%				
EPS YoY	62%	102%	77%	90%	87%	68%	25%	9%	119%	84%	39%	32%
Margin												
Gross margin	19.5%	19.6%	19.6%	19.7%	19.7%	19.8%	19.9%	20.0%	18.1%	19.6%	19.9%	19.9%
Opex	5.2%	5.0%	4.5%	4.5%	4.6%	4.4%	4.4%	4.2%	5.1%	4.7%	4.4%	4.2%
OP margin	14.3%	14.6%	15.1%	15.2%	15.1%	15.4%	15.5%	15.8%	13.0%	14.9%	15.5%	15.7%
Non-OP	0.4%	0.3%	0.2%	0.2%	0.0%	0.0%	0.0%	0.0%	0.3%	0.3%	0.0%	0.0%
Net margin	11.8%	12.0%	12.3%	12.4%	12.1%	12.4%	12.5%	12.7%	10.6%	12.2%	12.4%	12.6%

Source: SinoPac

Click to rate this research



Figure 3

Sales mix and GM assumptions

Sales (NT\$m)	2025	2026SP	2027SP	2028SP
Switch	87,111	148,463	192,061	223,116
Networking	152,888	237,678	339,372	471,218
Metro Access Switch	3,472	3,108	3,196	3,385
Wireless	737	436	390	352
Others	4,111	6,982	7,066	8,020
Total	248,320	396,667	542,085	706,091
YoY (%)	2025	2026SP	2027SP	2028SP
Switch	38%	70%	29%	16%
Networking	290%	55%	43%	39%
Metro Access Switch	-28%	-10%	3%	6%
Wireless	34%	-41%	-11%	-10%
Others	41%	70%	1%	14%
Total	125%	60%	37%	30%
Sales mix (%)	2025	2026SP	2027SP	2028SP
Switch	35%	37%	35%	32%
Networking	62%	60%	63%	67%
Metro Access Switch	1%	1%	1%	0%
Wireless	0%	0%	0%	0%
Others	2%	2%	1%	1%
Total	100%	100%	100%	100%
Gross margin (%)	2025	2026SP	2027SP	2028SP
Switch	20%	23%	24%	25%
Networking	16%	17%	17%	17%
Metro Access Switch	9%	10%	11%	12%
Wireless	9%	10%	11%	12%
Others	64%	30%	30%	29%
Total	18%	20%	20%	20%

Source: SinoPac

Figure 4

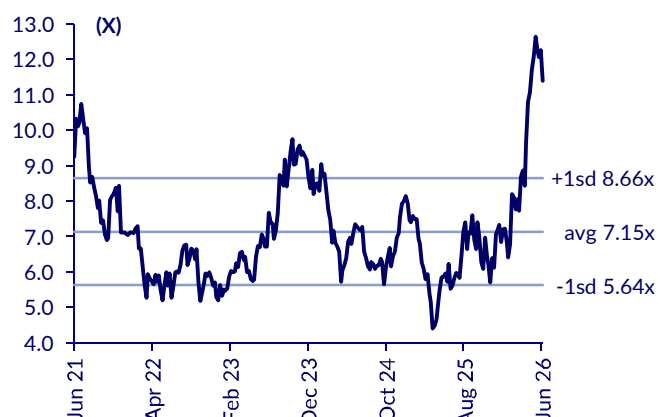
Forward PE



Source: SinoPac

Figure 5

Forward PB



Source: SinoPac

Figure 6

Target price change				
	Target PE (x)	Valuation period	12-month rolling EPS (NT\$)	Target price (NT\$)
Old	30	2027	101.9	3,100
New	30	2027	119.0	3,500

Source: SinoPac

Investment thesis

Content value increase in Trainium3 will mostly benefit major L6/L10 suppliers like Accton, which is a leading supplier in the ODM-direct switch market. Switches for datacentres are also poised to see strong momentum driven by aggressive hyperscaler Capex outlooks with networking speeds upgrading to 400G/800G to support AI applications. Moreover, Accton has demonstrated its expertise in AI server components, and we believe it may be able to leverage its technology and tap into the AI/ASIC server assembly business, coupled with opportunities from immersion cooling projects. This should lead to expanded offerings, positioning Accton as a total solution provider for AI servers in the future.

Catalysts

(1) Increased penetration rate of 800G switches in 2026; (2) better hyperscaler Capex outlooks; (3) AI accelerator demand, especially for AWS ASICs; (4) progress in liquid cooling ASIC rack projects; (5) business expansion to capture more AI server opportunities; (6) increasing demand for optical switches.

Valuation details

Our target PE multiple of 30x is above +1 standard deviation of the five-year average, which we believe is backed by a 35% EPS Cagr in 2026-28SP, reflecting our bullish view on Accton's leading position in the AI accelerator and direct-ODM switch market and near-term robust demand from AWS AI accelerators ramping up.

Investment risks

There could be downside risk to sales growth and blended gross margins if: (1) the adoption of 400/800Gbps switches is slower than we expect; (2) datacentre Capex is lower; (3) there is weaker AI accelerator demand and slower migration; (4) rising chip/component costs for networking switches.

Detailed financials

Profit & Loss (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Revenue	77,205	84,188	110,425	248,320	396,667	542,085	706,091
Cogs (ex-D&A)	(59,820)	(63,972)	(86,471)	(201,663)	(314,010)	(422,071)	(548,810)
Gross Profit (ex-D&A)	17,385	20,216	23,954	46,657	82,657	120,015	157,281
Research & development costs	(2,973)	(3,781)	(4,702)	(6,970)	(10,765)	(13,825)	(17,083)
Selling & marketing expenses	(1,841)	(1,914)	(2,032)	(2,338)	(3,672)	(4,767)	(5,891)
Other SG&A	(2,072)	(2,067)	(2,442)	(3,442)	(4,333)	(5,244)	(6,480)
Other Op Expenses ex-D&A	-	-	-	-	-	-	-
Op Ebitda	10,499	12,455	14,778	33,907	63,887	96,179	127,828
Depreciation/amortisation	(867)	(953)	(1,163)	(1,727)	(4,861)	(12,347)	(16,997)
Op Ebit	9,633	11,501	13,615	32,181	59,026	83,831	110,831
Interest income	179	639	870	1,087	1,112	1,129	1,133
Interest expense	(68)	(73)	(87)	(100)	(126)	(122)	(122)
Net interest inc/(exp)	111	566	782	987	986	1,007	1,011
Associates/investments	(53)	32	(19)	111	(155)	(207)	(207)
Forex/other income	501	(433)	699	(293)	286	(800)	(800)
Asset sales/other cash items	-	-	-	-	-	-	-
Provisions/other non-cash items	84	66	70	(102)	19	0	0
Asset revaluation/Exceptional items	-	-	-	-	-	-	-
Profit before tax	10,276	11,732	15,147	32,883	60,161	83,832	110,836
Taxation	(2,110)	(2,812)	(3,135)	(6,611)	(11,826)	(16,493)	(21,806)
Profit after tax	8,166	8,920	12,012	26,272	48,336	67,339	89,030
Preference dividends	-	-	-	-	-	-	-
Profit for period	8,166	8,920	12,012	26,272	48,336	67,339	89,030
Minority interest	0	0	1	36	32	32	32
Net profit	8,166	8,920	12,013	26,308	48,367	67,371	89,062
Extraordinaries/others	0	0	0	0	0	0	0
Profit avail to ordinary shares	8,166	8,920	12,013	26,308	48,367	67,371	89,062
Dividends	(3,346)	(4,185)	(5,582)	(6,148)	(8,387)	(19,347)	0
Retained profit	4,819	4,736	6,431	20,160	39,981	48,024	89,062
Adjusted profit	8,166	8,920	12,013	26,308	48,367	67,371	89,062
EPS (NT\$)	14.6	16.0	21.5	47.1	86.2	120.1	158.7
Adj EPS [pre excep] (NT\$)	14.6	16.0	21.5	47.1	86.2	120.1	158.7
Core EPS (NT\$)	14.6	16.0	21.5	47.1	86.2	120.1	158.7
DPS (NT\$)	6.0	7.5	10.0	14.9	34.5	48.0	63.5

Profit & loss ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Revenue growth (% YoY)	29.5	9.0	31.2	124.9	59.7	36.7	30.3
Ebitda growth (% YoY)	69.1	18.6	18.7	129.5	88.4	50.5	32.9
Ebit growth (% YoY)	77.0	19.4	18.4	136.4	83.4	42.0	32.2
Net profit growth (%)	73.6	9.2	34.7	119.0	83.9	39.3	32.2
EPS growth (% YoY)	73.4	9.2	34.5	118.8	83.1	39.3	32.2
Adj EPS growth (% YoY)	73.4	9.2	34.5	118.8	83.1	39.3	32.2
DPS growth (% YoY)	(7.6)	25.0	33.3	49.5	130.7	39.3	32.2
Core EPS growth (% YoY)	73.4	9.2	34.5	118.8	83.1	39.3	32.2
Margins (%)							
Gross margin (%)	22.5	24.0	21.7	18.8	20.8	22.1	22.3
Ebitda margin (%)	13.6	14.8	13.4	13.7	16.1	17.7	18.1
Ebit margin (%)	12.5	13.7	12.3	13.0	14.9	15.5	15.7
Net profit margin (%)	10.6	10.6	10.9	10.6	12.2	12.4	12.6
Core profit margin	10.6	10.6	10.9	10.6	12.2	12.4	12.6
Op cashflow margin	12.6	21.8	9.0	14.0	(0.7)	6.0	9.3
Returns (%)							
ROE (%)	45.3	39.1	41.2	60.6	65.6	57.3	51.6
ROA (%)	18.9	17.0	15.1	22.4	26.1	25.8	25.5
ROIC (%)	55.7	59.0	75.5	125.8	87.7	63.0	59.5
ROCE (%)	76.4	86.3	90.2	133.7	98.7	72.8	69.5
Other key ratios (%)							
Effective tax rate (%)	20.5	24.0	20.7	20.1	19.7	19.7	19.7
Ebitda/net int exp (x)	-	-	-	-	-	-	-
Exceptional or extraord. inc/PBT (%)	-	-	-	-	-	-	-
Dividend payout (%)	41.0	46.9	46.5	31.8	40.0	40.0	40.0

Source: SinoPac

Click to rate this research



Balance sheet (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Cash & equivalents	8,695	14,070	18,116	27,891	7,553	5,331	28,784
Accounts receivable	13,730	11,722	21,714	38,653	88,148	135,521	176,523
Inventories	12,788	13,551	19,371	30,202	63,774	96,537	131,583
Other current assets	6,328	10,287	10,977	23,681	23,681	23,681	23,681
Current assets	41,542	49,631	70,179	120,427	183,157	261,071	360,571
Fixed assets	1,804	3,181	5,445	9,228	13,314	15,966	13,970
Investments	323	642	6,370	8,155	20,241	20,242	20,243
Goodwill	0	0	0	0	0	0	0
Other intangible assets	168	178	870	771	771	771	771
Other non-current assets	2,223	2,944	3,456	4,650	2,941	2,942	2,943
Total assets	46,061	56,576	86,320	143,231	220,423	300,992	398,497
Short term loans/OD	926	434	476	492	492	492	492
Accounts payable	12,478	13,681	25,955	58,486	91,106	124,119	161,659
Accrued expenses	-	-	-	-	-	-	-
Taxes payable	0	0	0	0	0	0	0
Other current liabs	8,164	14,964	20,489	23,206	18,853	20,049	19,903
Current liabilities	21,568	29,080	46,920	82,184	110,451	144,661	182,054
Long-term debt/leases/other	2,605	538	281	84	84	84	85
Convertible bonds	-	-	-	-	-	-	-
Provisions/other LT liabs	1,460	1,771	2,831	3,328	12,300	10,664	8,691
Total liabilities	25,633	31,388	50,032	85,596	122,835	155,409	190,829
Share capital	5,601	5,604	5,611	5,611	5,611	5,611	5,611
Retained earnings	11,169	15,100	22,004	41,330	76,445	117,704	170,883
Reserves/others	3,676	4,512	5,428	6,781	11,618	18,355	27,261
Shareholder funds	20,447	25,215	33,043	53,723	93,675	141,670	203,755
Minorities/other equity	(18)	(27)	3,246	3,913	3,913	3,913	3,913
Total equity	20,428	25,188	36,289	57,635	97,587	145,583	207,668
Total liabs & equity	46,061	56,576	86,320	143,231	220,423	300,992	398,497
Total debt	3,531	972	757	576	576	576	577
Net debt	(5,164)	(13,099)	(17,359)	(27,314)	(6,976)	(4,755)	(28,207)
Adjusted EV	1,355,215	1,346,305	1,342,566	1,331,877	1,340,130	1,342,350	1,318,897
BVPS (NT\$)	36.5	45.0	58.9	95.7	166.9	252.5	363.1

Balance sheet ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Key ratios							
Current ratio (x)	1.9	1.7	1.5	1.5	1.7	1.8	2.0
Growth in total assets (% YoY)	31.5	22.8	52.6	65.9	53.9	36.6	32.4
Growth in capital employed (% YoY)	45.2	(21.4)	57.5	60.7	203.1	55.8	27.6
Net debt to operating cashflow (x)	-	-	-	-	-	-	-
Gross debt to operating cashflow (x)	0.4	0.1	0.1	0.0	(0.2)	0.0	0.0
Gross debt to Ebitda (x)	0.3	0.1	0.1	0.0	0.0	0.0	0.0
Net debt/Ebitda (x)	-	-	-	-	-	-	-
Gearing							
Net debt/equity (%)	(25.3)	(52.0)	(47.8)	(47.4)	(7.1)	(3.3)	(13.6)
Gross debt/equity (%)	17.3	3.9	2.1	1.0	0.6	0.4	0.3
Interest cover (x)	144.2	166.4	165.6	332.7	475.5	695.5	920.6
Debt cover (x)	2.8	18.9	13.1	60.5	(4.6)	56.4	114.0
Net cash per share (NT\$)	9.3	23.5	31.1	48.9	12.4	8.5	50.3
Working capital analysis							
Inventory days	78.3	74.0	68.6	44.5	53.8	67.3	73.6
Debtor days	57.8	55.2	55.3	44.4	58.3	75.3	80.7
Creditor days	72.3	73.5	82.5	75.8	85.6	90.4	92.2
Working capital/Sales (%)	15.8	8.2	5.1	4.4	16.5	20.6	21.3
Capital employed analysis							
Sales/Capital employed (%)	517.4	717.8	597.9	836.7	440.9	386.7	394.9
EV/Capital employed (%)	9,081.6	11,479.3	7,269.4	4,487.4	1,489.5	957.5	737.6
Working capital/Capital employed (%)	81.8	59.0	30.4	36.5	73.0	79.6	84.0
Fixed capital/Capital employed (%)	12.1	27.1	29.5	31.1	14.8	11.4	7.8
Other ratios (%)							
PB (x)	66.6	54.0	41.3	25.4	14.6	9.6	6.7
EV/Ebitda (x)	129.1	108.1	90.9	39.3	21.0	14.0	10.3
EV/OCF (x)	139.4	73.3	135.0	38.2	(506.6)	41.3	20.0
EV/FCF (x)	154.5	83.5	187.0	44.5	(116.0)	76.6	26.0
EV/Sales (x)	17.6	16.0	12.2	5.4	3.4	2.5	1.9
Capex/depreciation (%)	118.2	255.6	257.8	315.5	184.8	121.5	88.3

Source: SinoPac

Cashflow (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Operating profit	9,633	11,501	13,615	32,181	59,026	83,831	110,831
Operating adjustments	(1,467)	(2,581)	(1,603)	(5,909)	(10,690)	(16,492)	(21,801)
Depreciation/amortisation	867	953	1,163	1,727	4,861	12,347	16,997
Working capital changes	497	9,212	(1,718)	10,818	(54,800)	(45,927)	(38,654)
Interest paid / other financial expenses	(12)	(13)	(14)	2	207	207	207
Tax paid	-	-	-	-	-	-	-
Other non-cash operating items	205	(702)	(1,500)	(3,967)	(1,249)	(1,443)	(1,772)
Net operating cashflow	9,723	18,371	9,942	34,852	(2,645)	32,524	65,807
Capital expenditure	(952)	(2,245)	(2,762)	(4,894)	(8,903)	(15,000)	(15,000)
Free cashflow	8,772	16,126	7,181	29,958	(11,549)	17,524	50,807
Acq/inv/disposals	(5,189)	(3,967)	2,860	(15,146)	-	-	-
Int, invt & associate div	36	546	164	892	-	-	-
Net investing cashflow	(6,104)	(5,666)	262	(19,149)	(8,903)	(15,000)	(15,000)
Increase in loans	2,325	(2,564)	(338)	(187)	-	-	-
Dividends	(3,346)	(4,185)	(5,582)	(6,148)	(8,387)	(19,347)	(26,948)
Net equity raised/others	(261)	(307)	(873)	(327)	(302)	(299)	(306)
Net financing cashflow	(1,282)	(7,056)	(6,793)	(6,663)	(8,689)	(19,645)	(27,254)
Incr/(decr) in net cash	2,336	5,650	3,411	9,041	(20,238)	(2,121)	23,553
Exch rate movements	101	(275)	635	733	(100)	(100)	(100)
Opening cash	6,258	8,695	14,070	18,116	27,891	7,553	5,331
Closing cash	8,695	14,070	18,116	27,891	7,553	5,331	28,784
OCF PS (NT\$)	17.4	32.9	17.8	62.4	(4.7)	58.0	117.3
FCF PS (NT\$)	15.7	28.9	12.9	53.6	(20.6)	31.2	90.5

Cashflow ratio analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Op cashflow growth (% YoY)	610.8	88.9	(45.9)	250.5	(107.6)	nm	102.3
FCF growth (% YoY)	888.1	83.8	(55.5)	317.2	(138.6)	-	189.9
Capex growth (%)	98.1	135.9	23.0	77.2	81.9	68.5	0.0
Other key ratios (%)							
Capex/sales (%)	1.2	2.7	2.5	2.0	2.2	2.8	2.1
Capex/op cashflow (%)	9.8	12.2	27.8	14.0	(336.6)	46.1	22.8
Operating cashflow payout ratio (%)	34.4	22.8	56.2	24.0	-	82.9	54.1
Cashflow payout ratio (%)	34.4	22.8	56.1	17.6	-	59.5	0.0
Free cashflow payout ratio (%)	38.1	25.9	77.7	20.5	-	110.4	0.0

DuPont analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit margin (%)	12.5	13.7	12.3	13.0	14.9	15.5	15.7
Asset turnover (x)	1.9	1.6	1.5	2.2	2.2	2.1	2.0
Interest burden (x)	1.1	1.0	1.1	1.0	1.0	1.0	1.0
Tax burden (x)	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Return on assets (%)	18.9	17.0	15.1	22.4	26.1	25.8	25.5
Leverage (x)	2.3	2.3	2.3	2.4	2.3	2.1	2.0
ROE (%)	45.3	39.1	41.2	60.6	65.6	57.3	51.6

EVA® analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit adj for tax	7,655	8,744	10,797	25,711	47,423	67,338	89,026
Average invested capital	13,733	14,809	14,304	20,442	54,082	106,960	149,579
ROIC (%)	55.7	59.0	75.5	125.8	87.7	63.0	59.5
Cost of equity (%)	9.7	9.7	9.7	9.7	9.7	9.7	9.7
Cost of debt (adj for tax)	2.1	2.0	2.1	2.1	2.1	2.1	2.1
Weighted average cost of capital (%)	7.5	7.5	7.5	7.5	7.5	7.5	7.5
EVA/IC (%)	48.2	51.5	67.9	118.2	80.1	55.4	52.0
EVA (NT\$m)	6,619	7,631	9,718	24,168	43,341	59,265	77,735

Source: SinoPac



Research subscriptions

To change your report distribution requirements, please contact your CLSA sales representative or email us at cib@clsa.com. You can also fine-tune your Research Alert email preferences at https://www.clsa.com/member/tools/email_alert/.

Companies mentioned

Accton (2345 TT - NT\$2,430.00 - HIGH CONVICTION OUTPERFORM)¹

Amazon (N-R)

Broadcom (AVGO US - US\$382.07 - O-PF)²

Nvidia (NVDA US - US\$205.19 - HC O-PF)²

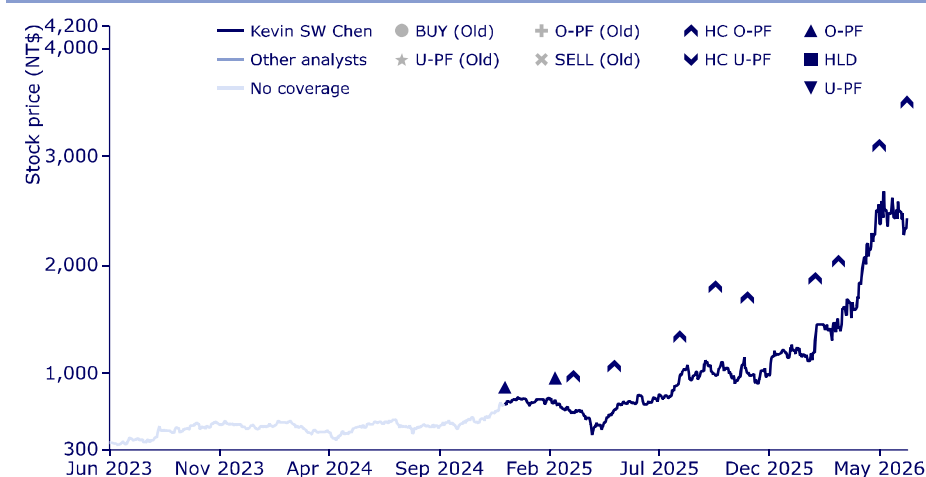
¹ Covered by SinoPac; ² Covered by CLSA Americas

Analyst certification

The analyst(s) of this report hereby certify that the views expressed in this research report accurately reflect my/our own personal views about the securities and/or the issuers and that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation or views contained in this research report.

Important disclosures

Recommendation history of Accton Technology Corp 2345 TT



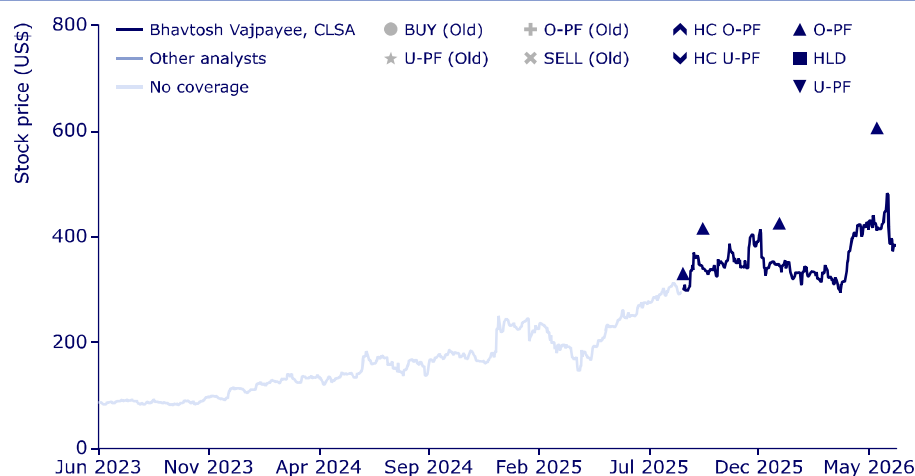
Date	Rec	Target	Date	Rec	Target
LATEST	HC O-PF	3,500.00	07 Aug 2025	HC O-PF	1,340.00
08 May 2026	HC O-PF	3,100.00	09 May 2025	HC O-PF	1,070.00
13 Mar 2026	HC O-PF	2,035.00	14 Mar 2025	HC O-PF	975.00
09 Feb 2026	HC O-PF	1,875.00	17 Feb 2025	O-PF	960.00
08 Nov 2025	HC O-PF	1,700.00	10 Dec 2024	O-PF	875.00
25 Sep 2025	HC O-PF	1,800.00			

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA/SinoPac investment rankings below for details. Source: CLSA, SinoPac

Click to rate this research



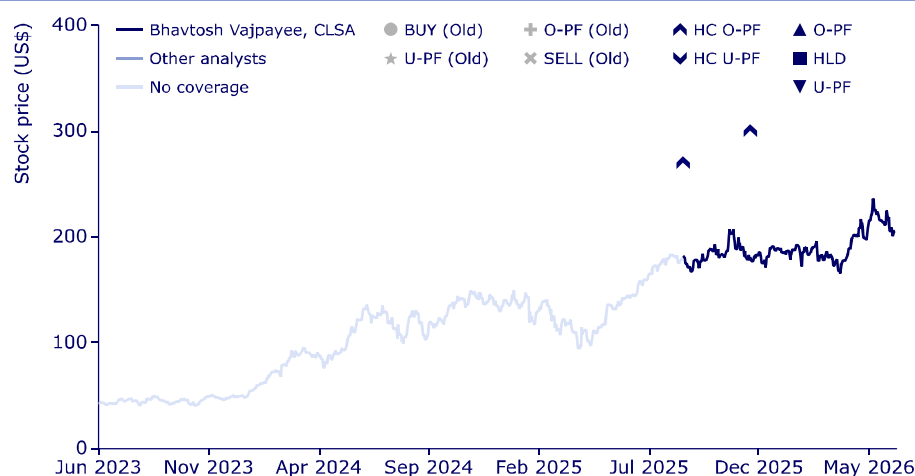
Recommendation history of Broadcom Ltd AVGO US



Date	Rec	Target	Date	Rec	Target
19 May 2026	O-PF	605.00	22 Sep 2025	O-PF	415.00
05 Jan 2026	O-PF	425.00	26 Aug 2025	O-PF	330.00

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA investment rankings below for details. Source: CLSA

Recommendation history of Nvidia Corp NVDA US



Date	Rec	Target	Date	Rec	Target
26 Nov 2025	HC O-PF	300.00	26 Aug 2025	HC O-PF	270.00

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA investment rankings below for details. Source: CLSA

This research report is prepared for and distributed by CLSA pursuant to a research products agreement between CLSA Limited and SinoPac Securities Investment Service Corporation (SinoPac). SinoPac has confirmed to CLSA Limited that the opinions expressed are based on information it believes to be fair, accurate and complete and obtained through reliable public or other non-confidential sources at the time made.

CLSA in this research report refers to CLSA Limited, CLSA Americas, LLC, CLSA Australia Pty Ltd, CLSA India Private Limited, PT CLSA Sekuritas Indonesia (a securities company licensed and supervised by Financial Services Authority (Otoritas Jasa Keuangan)), CLSA Securities Japan Co., Ltd., CLSA Securities Korea Ltd., CLSA Securities Malaysia Sdn. Bhd., CLSA Philippines, Inc, CLSA Singapore Pte Ltd, CLSA Securities (Thailand) Limited, CLSA (UK), CLSA Europe B.V. and/or their respective affiliates (collectively, CLSA).

The analyst(s) whose name appears in this research report is not registered or qualified as a research analyst with the Financial Industry Regulatory Authority (FINRA) and may not be an associated person of CLSA and, therefore, may not be subject to applicable restrictions under FINRA Rules on communications with a subject company, public appearances and trading securities held by a research analyst account.

Any opinions or estimates herein reflect the judgment of the analyst(s) at the date of this report and are subject to change at any time without notice. This report has been distributed by CLSA employing appropriate expertise, and in the belief that it is impartial, independent, clear, fair and not misleading. The information set forth herein was obtained from sources believed to be reliable, but has not been independently verified by CLSA nor SinoPac. Therefore, except for any obligation under applicable rules neither CLSA nor SinoPac

guarantees its accuracy. Additional and supporting information is available upon request.

This report is for information purposes only and it does not constitute or contain, and should not be considered as an offer or invitation to sell, or any solicitation or invitation of any offer to subscribe for or purchase any securities in any jurisdiction and recipient of this report must make its own independent decisions regarding any securities or financial instruments mentioned herein. This is not intended to provide professional, investment or any other type of advice or recommendation and does not take into account the particular investment objectives, financial situation or needs of individual recipients. Before acting on any information in this report, you should consider whether it is suitable for your particular circumstances and, if appropriate, seek professional advice, including legal or tax advice. Investments involve risks, and investors should exercise prudence and their own judgement in making investment decisions. The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to movements of exchange rate. Past performance is not necessarily a guide to future performance or liquidity. CLSA and/or SinoPac do/does not accept any responsibility and cannot be held liable for any person's use of or reliance on the information and opinions contained herein. To the extent permitted by applicable securities laws and regulations, CLSA and/or SinoPac accept(s) no liability whatsoever for any direct or consequential loss arising from the use of this report or its contents.

SinoPac may rely on information barriers, such as "Chinese Walls" to control the flow of information within the areas, units, divisions, groups, or affiliates of SinoPac. Meanwhile, CLSA maintains independence and integrity of its Research department, by having its Corporate Finance, Sales Trading, Asset Management and Research business lines distinct from one another. This means that CLSA's Research department is not part of and does not report to CLSA's Corporate Finance department, CLSA's Sales and Trading business or Asset Management business. Accordingly, neither the Corporate Finance department, the Sales and Trading department nor the Asset Management department supervises or controls the activities of CLSA's research analysts. CLSA's research analysts report to the management of the Research department, who in turn report to CLSA's senior management. CLSA has put in place a number of internal controls designed to manage conflicts of interest that may arise as a result of CLSA engaging in Corporate Finance, Sales and Trading, Asset Management and Research activities. Some examples of these controls include: the use of information barriers and other controls designed to ensure that confidential information is only shared on a "need to know" basis and in compliance with CLSA's Chinese Wall policies and procedures; measures designed to ensure that interactions that may occur among CLSA's Research personnel, Corporate Finance, Asset Management, and Sales and Trading personnel, CLSA's financial product issuers and CLSA's research analysts do not compromise the integrity and independence of CLSA's research.

Subject to any applicable laws and regulations at any given time, CLSA, SinoPac, their respective affiliates or officers, directors or employees may have used the information contained herein before or after publication and may have positions in, or may from time to time purchase or sell or have an interest or a material interest in any of the securities mentioned or related securities, or may currently or in future have or have had a business or financial relationship with, or may provide or have provided corporate finance/capital markets and/or other services to, the entities referred to herein, their advisors and/or any other connected parties. As a result, you should be aware that CLSA and/or SinoPac and/or their respective affiliates, officers, directors or employees may have one or more conflicts of interest. Regulations or market practice of some jurisdictions/markets prescribe certain disclosures to be made for certain actual, potential or perceived conflicts of interests relating to research reports. Details of the disclosable interest can be found in certain reports as required by the relevant rules and regulation and the full details are available at http://www.clsa.com/member/research_disclosures/. Disclosures therein include the position of CLSA only. Unless specified otherwise, CLSA and SinoPac did not receive any compensation or other benefits from the subject company, covered in this report, or from any third

party. For CITICS disclosure about specific companies mentioned herein, please access: https://www.clsa.com/member/research_disclosures_citics/. For SinoPac disclosure about specific companies mentioned herein, please access: https://www.clsa.com/member/research_disclosures_sinopac/. If investors have any difficulty accessing this website, please contact webadmin@clsa.com or login.enquiry@clsa.com. If you require disclosure information on previous dates, please contact compliance_hk@clsa.com.

Neither analysts nor their household members or associates may have a financial interest in, or be an officer, director or advisory board member of companies covered by the analyst unless disclosed herein. In circumstances where an analyst has a pre-existing holding in any securities under coverage, those holdings are grandfathered and the analyst is prohibited from trading such securities.

As analyst(s) of this report, I/we hereby certify that the views expressed in this research report accurately reflect my/our own personal views about the securities and/or the issuers and that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation or views contained in this report.. The analyst/s also state/s and confirm/s that he/she/they has/have not been subject to any outside influence in connection with this research report. In addition, the analysts included herein attest that they were not in possession of any material, non-public information regarding the subject company that has securities listed in the relevant jurisdiction(s) at the time of publication of this report. Save from the disclosure below (if any), the analyst(s) is/are not aware of any material conflict of interest. For full disclosure of interest for all companies covered in this report, please refer to http://www.clsa.com/member/research_disclosures/ and https://www.clsa.com/member/research_disclosures_sinopac/ for details.

Key to CLSA/SinoPac investment rankings: From 16 December 2024: High-Conviction Outperform (HC O-PF): Strong conviction that a top-quartile stock (by expected return in analyst's coverage) will outperform and total stock return (TSR) expected to exceed or be equal to 10%; Outperform (O-PF): TSR expected to exceed or be equal to 10%; Hold (HLD): TSR expected to be below 10% but more than or equal to negative 10%; Underperform (U-PF): TSR expected to be below negative 10%; High-Conviction Underperform (HC U-PF): Strong conviction that a bottom-quartile stock (by expected return in analyst's coverage) will underperform and total stock return expected to be below negative 10%. TSR is up/downside to 12-month target price plus dividend. From 6pm (HK time) on 28 June 2024 and up to 16 December 2024: Outperform (O-PF): TSR expected to exceed or be equal to 10%; Hold (HLD): TSR expected to be below 10% but more than or equal to negative 10%; Underperform (U-PF): TSR expected to be below negative 10%. Up to 6pm (HK time) on 28 June 2024: BUY: Total stock return (including dividends) expected to exceed 20%; O-PF (aka ACCUMULATE): Total expected return below 20% but exceeding market return; U-PF (aka REDUCE): Total expected return positive but below market return; SELL: Total return expected to be negative. For relative performance, we benchmarked the 12-month total forecast return (including dividends) for the stock against the 12-month forecast return (including dividends) for the market on which the stock trades.

For purposes of regulatory disclosure only, our High-Conviction Outperform and Outperform ratings fall into a buy rating category; our Hold rating falls into a hold rating category; and our High-Conviction Underperform and Underperform ratings fall into a sell rating category.

For a history of the recommendation, price targets and disclosure information for companies mentioned in this report please write to: CLSA Group Compliance, 18/F, One Pacific Place, 88 Queensway, Hong Kong. EVA® is a registered trademark of Stern, Stewart & Co. "CL" in charts and tables stands for CLSA estimates, "CS" for CITIC Securities estimates and "SP" stands for SinoPac estimates, unless otherwise noted in the source.

Charts and tables sourced to CLSA or SinoPac in this report may include data extracted from CLSA or SinoPac's automated databases, which derive their original data from a range of sources. These can include: companies; analyst estimates/calculations; local exchanges and/or third-party data or market pricing providers such as

Bloomberg, FactSet or IBES. Additional information on data sources for specific charts or tables can be obtained by contacting the publishing analysts.

This report is subject to and incorporates the terms and conditions of use set out on the www.clsa.com website (<https://www.clsa.com/disclaimer.html> and <https://www.clsa.com/terms-and-conditions-of-use/>) and the references to "publication/communication" or "Publications" thereof shall include this report. Neither this report nor any portion hereof may be reprinted, sold, resold, copied, reproduced, distributed, redistributed, published, republished, displayed, posted or transmitted in any form or media or by any means without the written consent of CLSA. This report has been produced for private circulation to professional, institutional and/or wholesale clients only, and may not be distributed to retail investors. The information, opinions and estimates herein are not directed at, or intended for distribution to or use by, any person or entity in any jurisdiction where doing so would be contrary to law or regulation or which would subject CLSA and/or SinoPac to any additional registration or licensing requirement within such jurisdiction. The information and statistical data (for private or public companies) herein have been obtained from sources CLSA and/or SinoPac believe to be reliable. Such information has not been independently verified by CLSA and/or SinoPac. CLSA and/or SinoPac together with their respective directors, officers, employees and other representatives (Representatives) make no representation or warranty as to the fairness, adequacy, accuracy, completeness or correctness of the contents of this research, including views and company information. None of the CLSA, SinoPac and their respective Representatives undertake any obligation to update the information contained herein. None of CLSA, SinoPac and their respective Representatives shall be liable for any damages, losses, or other consequences arising from the use or reliance on the information herein.

The replication of any third party views in this report should not be treated necessarily as an indication that CLSA and/or SinoPac agrees with or concurs with such views. None of CLSA and/or SinoPac, their respective affiliates and their respective directors, officers, employees, advisers and representatives makes any representation or warranty, express or implied, as to and no reliance should be placed on, the fairness, accuracy, completeness or correctness of such data or information contained herein or any statement made in this report. Any opinions or estimates herein reflect the judgment of the analyst(s) at the date of this report and are subject to change at any time without notice. Where any part of the information, opinions or estimates contained herein reflects the views and opinions of a sales person or a non-analyst, such views and opinions may not correspond to the published view of CLSA and/or SinoPac. Any price target given in the report may be projected from one or more valuation models and hence any price target may be subject to the inherent risk of the selected model as well as other external risk factors. Where the publication does not contain ratings, the material should not be construed as research but is offered as factual commentary. It is not intended to, nor should it be used to form an investment opinion about the non-rated companies.

You should make your own independent evaluation of the relevance, adequacy, and correctness of information contained in this report and conduct such investigations as you deem necessary, including making inquiries with the company and obtaining independent financial or investment advice before making critical decisions. You shall not use or rely on the contents of the information herein for any purpose. You shall apply caution when using this report at your own risk. You shall assume full responsibility for any interpretations, decisions, or actions taken based on the information provided and assume all risks associated with the use of this report, and releases CLSA, SinoPac, their respective affiliates and Representatives from any liability arising from such use. You shall be solely responsible for any losses incurred.

Please be aware that artificial intelligence (AI) may be utilized in connection with research, analysis and reporting activities and such use may range from superficial (e.g., auxiliary data processing) to material (e.g., primary analysis or inclusion of AI-generated content contained herein). This report contained herein may contain AI generated content and may contain inaccuracies, omissions, misstatement, or misinterpretations due to AI's inherent limitations.

CLSA and/or SinoPac together with their respective Representatives may or may not have reviewed, edited, or approved such research report contained herein.

The report contained herein is strictly prohibited from being used, in whole or in part, for the purpose of training AI system, including but not limited to machine learning models or any other AI related development, whether for commercial, public or broad use or distribution purposes, unless with the prior written consent of CLSA. The report provided herein is intended solely for informational purposes and is not designed or authorized for integration with or use within any AI tools or systems by the report user. The report user shall not, under any circumstances, incorporate, feed, or utilize the content of the report directly or indirectly into any AI applications, models or algorithms. By accessing information herein, you agree to abide by these restrictions and CLSA reserves the right to enforce these terms and pursue remedies for unauthorized use.

Any disputes related to this report shall be governed by the laws of Hong Kong and to the non-exclusive jurisdiction of the courts of Hong Kong in connection with any suite, action or proceeding arising out of or in connection with this material. In the event any of the provisions in these General Disclaimer shall be held to be unenforceable, that provision shall be enforced to the maximum extent permissible to reflect the intention underlying the unenforceable term, and the remainder of these General Disclaimer shall be unimpaired.

This research report is prepared and distributed for and on behalf of CLSA (for research compiled by non-US analyst(s)) in the United States by CLSA Americas, LLC (to its customers); in Australia by CLSA Australia Pty Ltd (ABN 53 139 992 331/AFSL License No: 350159); in Hong Kong by CLSA Limited (Incorporated in Hong Kong with limited liability); in India by CLSA India Private Limited, (Address: 8/F, Dalamal House, Nariman Point, Mumbai 400021. Tel No: +91-22-66505050; CIN: U67120MH1994PTC083118; SEBI Registration No: INZ000001735 as Stock Broker, INM000010619 as Merchant Banker and INH000000113 as Research Analyst; in Indonesia by PT CLSA Sekuritas Indonesia (a securities company licensed and supervised by Financial Services Authority (Otoritas Jasa Keuangan)); in Japan by CLSA Securities Japan Co. Ltd.; in Korea by CLSA Securities Korea Ltd.; in Malaysia by CLSA Securities Malaysia Sdn. Bhd.; in the Philippines by CLSA Philippines Inc; in Singapore by CLSA Singapore Pte Ltd and solely to persons who qualify as an "Institutional Investor", "Accredited Investor" or "Expert Investor" MDDI (P) 035/11/2025; in Thailand by CLSA Securities (Thailand) Limited; and in the European Economic Area ("EEA") by CLSA Europe BV and in the United Kingdom by CLSA (UK).

China Hong Kong: This research report is distributed by CLSA Limited. This research report is distributed in Hong Kong only to professional investors (as defined in the Securities and Futures Ordinance (Chapter 571 of the Laws of Hong Kong) and any rules promulgated thereunder) and may not be distributed to retail investors. Recipients should contact Matthew Overly, Tel: +852 2600 8315 of CLSA Limited in respect of any matters arising from, or in connection with, the analysis or report.

Australia: This report has been prepared for and on behalf of CLSA pursuant to a research products agreement between CLSA Limited and SinoPac. SinoPac does not hold an Australian financial services license and relies on licensing relief as a Foreign Financial Services Provider, limited to distribution to Australian "wholesale" investors only. If you are an Australian investor, you represent and continue to represent on an ongoing basis, that you are a wholesale investor and if you cease being a wholesale investor, please contact us immediately. CLSA Australia Pty Limited has not been involved in the preparation of this document. Therefore, recommendations of SinoPac in this document should not be regarded as recommendations of CLSA Australia Pty Limited. CLSA Australia Pty Limited does not take any responsibility for, and to the maximum extent permitted by law disclaims any liability for, the content of this document.

CLSA Australia Pty Ltd ("CAPL") (ABN 53 139 992 331/AFS License No: 350159) is regulated by the Australian Securities and Investments Commission ("ASIC") and is a Market Participant of ASX Limited and Cboe Australia Pty Ltd. This material does not take into account the specific investment objectives, financial situation or particular needs of the recipient. The recipient of this material must not distribute it to any third party without the prior written consent

of CAPL. For the purposes of this paragraph the term "wholesale client" has the meaning given in section 761G of the Corporations Act 2001. CAPL's research coverage universe spans listed securities across the ASX All Ordinaries index, securities listed on offshore markets, unlisted issuers and investment products which Research management deem to be relevant to the investor base from time to time. CAPL seeks to cover companies of relevance to its domestic and international investor base across a variety of sectors.

India: CLSA India Private Limited, incorporated in November 1994 provides equity brokerage services (SEBI Registration No: INZ000001735), research services (SEBI Registration No: INH000001113) and merchant banking services (SEBI Registration No: INM000010619) to global institutional investors, pension funds and corporates. CLSA and its associates may have debt holdings in the subject company. Further, CLSA and its associates, in the past 12 months, may have received compensation for non-investment banking services and/or non-securities related services from the subject company. For further details of "associates" of CLSA India please contact Compliance-India@clsacsa.com. Registration granted by SEBI and certification from NISM in no way guarantee performance of CLSA India Private Limited or provide any assurance of returns to investors. Compliance officer & Grievance officer: Neeta Sanghavi, Tel: 22 6650 5050. Email address of Compliance officer and Grievance cell: compliance-india@clsacsa.com.

Singapore: This report is distributed in Singapore by CLSA Singapore Pte Ltd to institutional investors, accredited investors or expert investors (each as defined under the Financial Advisers Regulations) only. Singapore recipients should contact CLSA Singapore Pte Ltd, 80 Raffles Place, #18-01, UOB Plaza 1, Singapore 048624, Tel: +65 6416 7888, in respect of any matters arising from, or in connection with, the analysis or report. By virtue of your status as an institutional investor, accredited investor or expert investor, CLSA Singapore Pte Ltd is exempted from complying with certain requirements under the Financial Advisers Act 2001, the Financial Advisers Regulations and the relevant Notices and Guidelines issued thereunder (as disclosed in Part C of the Securities Dealing Services – Singapore Annex of the CLSA terms of business), in respect of any financial advisory services that CLSA Singapore Pte Ltd may provide to you. MDDI (P) 035/11/2025.

United States of America: This research report has been prepared for and on behalf of CLSA pursuant to a research products agreement between CLSA Limited and SinoPac. Where any section is compiled by non-US analyst(s), it is distributed into the United States in one of two ways: 1) by CLSA Americas, LLC, as third party research, or 2) by CLSA (except CLSA Americas, LLC) solely to persons who qualify as "Major US Institutional Investors" as defined in Rule 15a-6 under the Securities and Exchange Act of 1934 and who deal with CLSA Americas, LLC. However, the delivery of this research report to any person in the United States shall not be deemed a recommendation to effect any transactions in the securities discussed herein or an endorsement of any opinion expressed herein. Any recipient of this research in the United States wishing to effect a transaction in any security mentioned herein should do so by contacting CLSA Americas, LLC. For Trades, information or any other forms of transactions or communications that are routed or processed outside the CLSA group's system, CLSA Americas, LLC is not acting as 15a-6 Agent and such activity should not be considered the liability of CLSA Americas, LLC or any other members of CLSA group.

Canada: This research report has been prepared for and on behalf

of CLSA pursuant to a research products agreement between CLSA Limited and SinoPac. The delivery of this research report to any person in Canada shall not be deemed a recommendation to effect any transactions in the securities discussed herein or an endorsement of any opinion contained herein.

The United Kingdom: This document is a marketing communication. It has not been prepared in accordance with the legal requirements designed to promote the independence of investment research, and is not subject to any prohibition on dealing ahead of the dissemination of investment research. The document is disseminated in the UK by CLSA (UK) and directed at persons having professional experience in matters relating to investments, as defined in the relevant applicable local regulations. Any investment activity to which it relates is only available to such persons. If you do not have professional experience in matters relating to investments you should not rely on this document. CLSA (UK) is authorised and regulated by the Financial Conduct Authority.

The European Economic Area ("EEA"): Research is distributed by CLSA Europe BV, authorised and regulated by the Netherlands Authority for Financial Markets.

Malaysia: This publication is distributed by CLSA Securities Malaysia Sdn Bhd (CLSA Malaysia) and is intended solely for persons with sufficient knowledge and experience in investment. The information contained herein pertains exclusively to those with such expertise, and any investment decisions based on it should only be undertaken by such persons. If a person lacks knowledge, experience, or qualifications in investment matters, please refrain from relying on this document. Malaysia recipients should contact CLSA Securities Malaysia Sdn Bhd, Suite 21-01, Level 21, Menara Generali, 27 Jalan Sultan Ismail, 50250 Kuala Lumpur, Tel: +603 20567888, in respect of any matters arising from, or in connection with, the analysis or report.

CLSA Malaysia's research coverage universe spans listed securities across the FBM KLCI Index, securities listed on offshore markets, unlisted issuers and investment products which Research management deem to be relevant to the investor base from time to time. CLSA Malaysia seeks to cover companies of relevance to its domestic and international investor base across a variety of sectors.

Korea: This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only.

For all other jurisdiction-specific disclaimers please refer to <https://www.clsacsa.com/disclaimer.html>. The analysts/contributors to this report may be employed by any relevant CLSA entity or SinoPac, which is different from the entity that distributes the report in the respective jurisdictions. © 2026 CLSA Limited and/or SinoPac Securities Investment Service Corporation.

Investment in the securities market is subject to market risks. Read all the related documents carefully before investing.